

# MEMORY BASED PAPER

---

## RBI Grade 'B'

### Finance & Management (F & M)-2018



ARE YOU STILL BUYING  
MOCK TESTS!!!

All mock tests are FREE at  
[www.ixamBee.com](http://www.ixamBee.com)



[www.ixambee.com](http://www.ixambee.com)

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

**2 marker passage based questions**

1. A type of departmentation in which activities are grouped based on unique occupational specialty/ processes that focuses on production processes is called
  - a) Product departmentation
  - b) Process departmentation**
  - c) Functional departmentation
  - d) Project departmentation
  - e) Customer departmentation

**(was covered by ixamBee under mock tests)**

Ans: B

Organization and Departmentation | Management

**Process (or Equipment) Departmentalization:**

Process departmentation is simply a grouping of activities that focuses on production processes or equipment. It is usually found in manufacturing.

A manufacturing plant's activities may be grouped into drilling, grinding, welding, assembling and finishing departments. This approach is advantageous when the machines or equipment used require special operating skills or are of such large capacity that to be used economically (i.e., with the maximum possible efficiency) they must be used all the time (so that cost per unit is minimized).

2. Which type of Inventory Management models focuses on minimizing variable inventory costs & takes into account storage, ordering costs and shortage costs.
  - a) EOQ**
  - b) PERT
  - c) CPM
  - d) EPQ
  - e) Forecasting

Ans: A

EOQ: is a quantitative approach for deriving the minimum cost model for the inventory problem in hand.

Economic Order Quantity (EOQ) Model

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

This model is applied when objective is to minimize the total annual cost of inventory in the organization. Economic order quantity is that size of the order which helps in attaining the above set objective.

The economic order quantity (EOQ) is the order quantity that minimizes total holding and ordering costs for the year. Even if all the assumptions don't hold exactly, the EOQ gives a good indication of whether or not current order quantities are reasonable.

3. As per the given data, which bank is suitable bet for investment in a stock if high PE ratio is preferred.

| Entity    | Market price | EPS |
|-----------|--------------|-----|
| Axis bank | 1545         | 60  |
| HDFC bank | 2060         | 76  |
| PNB bank  | 1911         | 88  |
| SBI       | 1745         | 69  |

(concept of EPS, PE Ratio was covered by ixamBee under various chapter tests, mock tests, video lessons, live classes, etc.)

Ans: HDFC

- P/E Ratio highest among all.

The price earnings ratio formula is calculated by dividing the market value price per share by the earnings per share EPS.

The price to earnings ratio indicates the expected price of a share based on its earnings. As a company's earnings per share being to rise, so does their market value per share. A company with a high P/E ratio usually indicated positive future performance and investors are willing to pay more for this company's shares.

4. What are the types of trades that are currently settled through CCIL

- I. Forex inter-bank Cash
- II. Spot and Forward USD/INR transactions
- III. Future settlement
- IV. Option settlement

- a) All except II & IV
- b) All except I & II

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

- c) All except III& IV
- d) All
- e) None

**(was covered by ixamBee under mock tests)**

Ans: C

Clearing Corporation of India Limited (CCIL) is a Central Counterparty (CCP) which was set up in April 2001 to provide clearing and settlement for transactions in Government securities, foreign exchange and money markets in the country. CCIL acts as a central counterparty in various segments of the financial markets regulated by the RBI viz. the government securities segment, collateralized borrowing and lending obligations (CBLO) - a money market instrument, USD-INR and forex forward segments. Moreover, CCIL provides non-guaranteed settlement in the rupee denominated interest rate derivatives like Interest Rate Swaps/Forward Rate Agreement market.

5. If the rupee fell to a record low of 70 and breached that mark, what suitable actions will be justified by RBI in order to arrest the further depreciation?
- a) **Sell dollars**
  - b) Buy G-Sec
  - c) Sterilization
  - d) Buy dollars
  - e) Market forces will decide by itself

**(covered under videos on Monetary policy and Forex markets)**

Ans: A

RBI takes into account the following monetary policies:

- Open Market Operations
- Bank Rate Policy (increasing MSF rates)
- Credit Ceiling
- Credit Authorization Scheme
- Moral Suasion

RBI controls the devaluation/depreciation of Indian rupee by exercising various monetary operations mentioned above.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

6. Suppose a company issues Bonus shares in the ratio 1:1 consider the following statement wrt it.
- a) Tangible Net worth of company decreases
  - b) Tangible Net worth of company increases
  - c) No change in company's tangible Net worth**
  - d) Intangible Net worth of company decreases
  - e) None

**Covered under mock tests and discussed in live sessions**

Ans: C

1:1 bonus means for every 1 share you hold, you'll get 1 extra share free of cost. But these are paid out by the company by capitalizing the free reserves (which are a part of tangible networkth of the company; networkth = paid up capital + reserves & surplus). As such issue of bonus shares shifts the amount from the reserves of the company to the paid up capital of the company, thereby keeping the overall networkth of the company unchanged.

BONUS ISSUE: Company increases the ownership of shareholders in company.

- M-Cap remains same
- No. of shares increases
- Market value of shares decreases
- Face value of shares remains same

7. In which type of inventory management system the supply of components is regulated through the use of instruction cards sent along the production line.
- a) EOQ
  - b) Kaizen Technique
  - c) Total quality management
  - d) LIFO/FIFO
  - e) Kanban Technique**

**Covered under mock tests**

Ans: E

Kanban (看板) (signboard or billboard in Japanese) is a scheduling system for lean manufacturing and just-in-time manufacturing (JIT). Taiichi Ohno, an industrial engineer at Toyota, developed Kanban to improve manufacturing efficiency. Kanban is one method to achieve JIT. The system takes its name from the cards that track production within a factory.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

For many in the automotive sector, Kanban is known as the "Toyota nameplate system" and as such the term is not used by some other automakers.)

**Kanban cards**

Kanban cards are a key element of the Kanban system; it is the most commonly used laminate with the Kanban parameters it has applied to it. These cards indicate the need to move materials in production, production facility or materials from an external supplier or production site.

The Kanban card, in effect, is a signal to the appropriate organizational unit that the product, part or stock is exhausted in the warehouse. This unit should start working to restore the stock in the slot from which the kanban card was transferred. It can be said that kanban cards are signals that drive demand for production.

Both the kanban system and the kanban cards are commonly advocated by lean management advocates, whose implementation allows for increased productivity, lower inventory levels, and reduced costs, which mean more competitive market.

The kanban card, according to the rules of the whole system, should simply be handed over to the procuring entity at the time of the need. This situation occurs after the pre-determined stock volume has been exhausted (batch size). Unit supplying, upon receipt of the card kanban, must initiate appropriate measures in order to supply the individual contracting material. In a nutshell, a kanban card is a production order that signifies the need for a workstation or a customer's need.

The signal corresponding to the kanban card can also be a container or bin. They should be marked in the same way as the kanban card.

**Types of kanban cards**

In the KANBAN system for production control, there are two types of kanban cards:

- Production card – production order (KAN) – is used to commission a certain number of items. This card allows you to create the product at the workstation to transfer the product to another location based on the demand card.
- Demand card – flow order (BAN) – is a document download the product from the previous position. This card allows the transfer of one standard container from the location where the product was manufactured to the location where it will be used.

One of these cards must always be pinned to a container where materials of a fixed batch size are stored.



**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

8. What is the correct order of claims (priority in liquidation) in waterfall structure of Insolvency and bankruptcy code, 2016

- a) **insolvency costs, secured creditors, Govt. dues, preference shareholders**
- b) Insecured creditors, insolvency costs, Govt. dues, preference shareholders
- c) insolvency costs, Govt. dues, preference shareholders, Insecured creditors
- d) Govt. dues, preference shareholders, secured creditors, insolvency costs
- e) Insecured creditors, insolvency costs, Govt. dues, wages and any unpaid dues owed to employees

Ans: A

**Priority in Liquidation**

Section 53 of the IBC sets out the priority in which the proceeds of liquidation will be distributed.

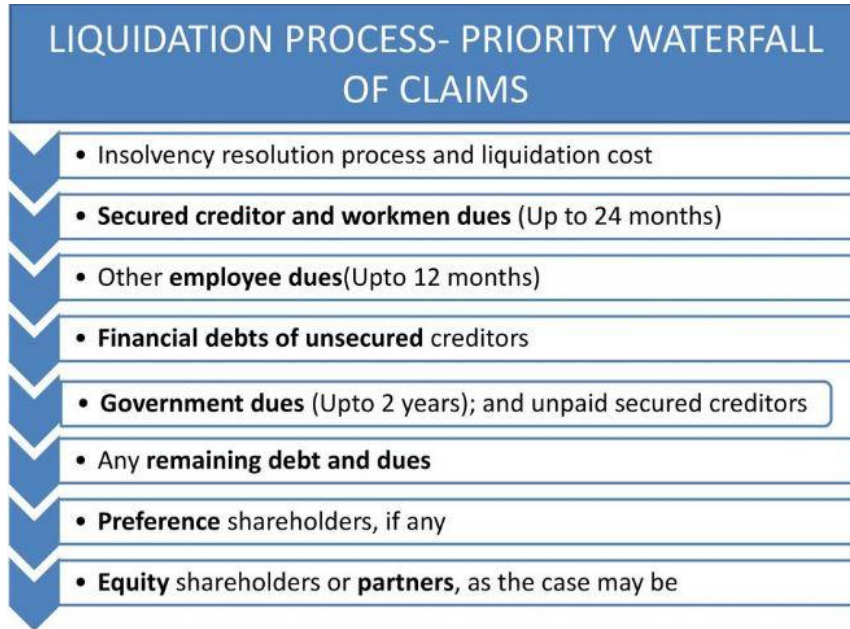
The priority is:

- I. the insolvency resolution process costs and the liquidation costs;
- II. the following debts which rank equally: (i) workmen's dues for the period of twenty-four months preceding the liquidation commencement date; and (ii) debts owed to a secured creditor in the event such secured creditor has relinquished its security to the liquidation estate;
- III. wages and any unpaid dues owed to employees other than workmen for the period of twelve months preceding the liquidation commencement date;
- IV. financial debts owed to unsecured creditors;
- V. ranking equally, (i) any amount due to the Central Government and the State Government including the amount to be received on account of the Consolidated Fund of India and the Consolidated Fund of a State, if any, in respect of the whole or any part of the period of two years preceding the liquidation commencement date; (ii) debts owed to a secured creditor for any amount unpaid following the enforcement of security interest;
- VI. any remaining debts and dues;
- VII. preference shareholders, if any; and
- VIII. Equity shareholders or partners, as the case may be.

The order of priority under the IBC is similar to the order for distribution under a winding up under the Companies Act, but with a couple of significant differences. Unsecured financial creditors have greater primacy under the IBC, and now take ahead of both crown debts, that is, debts owed to government, and other unsecured creditors.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**



9. The provisions of the Insolvency and Bankruptcy Code, 2016 are applicable/ applies to
- Individuals, Unlimited Partnership Firms, Limited Liability Partnerships and Companies**
  - Unlimited Partnership Firms, Limited Liability Partnerships and Companies
  - Individuals, Limited Liability Partnerships and Companies
  - Individuals & Companies
  - Corporates only

Ans: A

The provisions of the IBC, 2016 are applicable to Individuals, Unlimited Partnership Firms, Limited Liability Partnerships and Companies. The provisions relating to Corporate in the Code, i.e., Limited Liability Partnerships and Companies is notified and in force w.e.f. 1st December, 2016. The provisions related to Individuals and Unlimited Partnership Firms – the Part III of IBC, 2016 is yet to be notified.

10. Consider the following statement wrt. DRT's & NCLT's
- The Debt Recovery Tribunal ("DRT") shall be the adjudicating authority ("Adjudication Authority") with jurisdiction over individuals and partnership. The National Company Law Tribunal ("NCLT") shall be the Adjudicating Authority with jurisdiction over companies, other limited liability entities (excluding LLPs.)
  - The Debt Recovery Tribunal ("DRT") shall be the adjudicating authority ("Adjudication Authority") with jurisdiction over individuals and partnership**



**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

**firms other than Limited Liability Partnerships (“LLPs”).The National Company Law Tribunal (“NCLT”) shall be the Adjudicating Authority with jurisdiction over companies, other limited liability entities (including LLPs.)**

- c) The Debt Recovery Tribunal (“DRT”) shall be the adjudicating authority (“Adjudication Authority”) with jurisdiction over partnership firms other than Limited Liability Partnerships (“LLPs”).The National Company Law Tribunal (“NCLT”) shall be the Adjudicating Authority with jurisdiction over companies, other limited liability entities (excluding LLPs.)
- d) The Debt Recovery Tribunal (“DRT”) shall be the adjudicating authority (“Adjudication Authority”) with jurisdiction over individuals only.The National Company Law Tribunal (“NCLT”) shall be the Adjudicating Authority with jurisdiction over companies, other limited liability entities (including LLPs.)
- e) The Debt Recovery Tribunal (“DRT”) shall be the adjudicating authority (“Adjudication Authority”) with jurisdiction over partnership firms other than Limited Liability Partnerships (“LLPs”) only.The National Company Law Tribunal (“NCLT”) shall be the Adjudicating Authority with jurisdiction over companies, other limited liability entities (including LLPs.)

**Discussed in live class sessions**

Ans: B

**Under IBC’s**

Insolvency Adjudicating Authority: The adjudicating authority will exercise jurisdiction over cases by or against the debtor.

The Debt Recovery Tribunal (“DRT”) shall be the adjudicating authority (“Adjudication Authority”) with jurisdiction over individuals and partnership firms other than Limited Liability Partnerships (“LLPs”). Appeals from the order of the DRT will lie to the Debt Recovery Appellate Tribunal (“DRAT”).

The National Company Law Tribunal (“NCLT”) shall be the Adjudicating Authority with jurisdiction over companies, other limited liability entities (including LLPs.). Appeals from the order of NCLT shall lie to the National Company Law Appellate Tribunal (“NCLAT”).

NCLAT shall be the appellate authority to hear appeals arising out of the orders passed by the Regulator in respect of insolvency professionals or information utilities.

**Difference between NCLT & DRT**

NCLT is regulated by the Companies Act, whereas DRT is regulated by the SARFAESI Act and Recovery of Debts due to Banks and Financial Institutions.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

Companies approach NCLT for winding up; strike off cases in case of default whereas Banks and Financial Institutions approach DRT for recovery procedure.

The liquidation that is Insolvency cases are dealt by NCLT.

Recently it has been ruled by High Court that parallel cases of a same company cannot run in front of both the tribunals. Case- SBI v. LML

11. Basel III is a set of international banking regulations developed by the Bank for International Settlements in order to promote stability in the international financial system. The components of capital in BASEL III norms includes

- I. Common Equity Tier 1
- II. Additional Tier 1
- III. Tier 2 Capital
- IV. Capital conservation buffer
  - a) All except IV
  - b) Only I&III
  - c) Only II&IV
  - d) All except II
  - e) All

**Covered under mock tests and video lessons**

Ans: E

Capital requirements BASEL III

- The original Basel III rule from 2010 required banks to fund themselves with 4.5% of common equity (up from 2% in Basel II) of risk-weighted assets (RWAs). Since 2015, a minimum Common Equity Tier 1 (CET1) ratio of 4.5% must be maintained at all times by the bank.
- The minimum Tier 1 capital increases from 4% in Basel II to 6%, applicable in 2015, over RWAs. This 6% is composed of 4.5% of CET1, plus an extra 1.5% of Additional Tier 1 (AT1).
- Furthermore, Basel III introduced two additional capital buffers:
  - A mandatory "capital conservation buffer", equivalent to 2.5% of risk-weighted assets. Considering the 4.5% CET1 capital ratio required, banks have to hold a total of 7% CET1 capital ratio, from 2019 onwards.
  - A "discretionary counter-cyclical buffer", allowing national regulators to require up to an additional 2.5% of capital during periods of high credit growth. The level of this buffer ranges between 0% and 2.5% of RWA and must be met by CET1 capital.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

12. As per Basel III norms, under pillar (I) minimum capital adequacy ratio (CAR), which types of risk were taken into account?

- a) Credit Risk
- b) Market Risk
- c) Operational Risk
- d) All**
- e) Both A&B

**Covered under mock tests, video lessons and live classes**

Ans: D

Pillar 1: Minimum Regulatory Capital Requirements based on Risk Weighted Assets (RWAs): Maintaining capital calculated through credit, market and operational risk areas.

Pillar 2: Supervisory Review Process: Regulating tools and frameworks for dealing with peripheral risks that banks face.

Pillar 3: Market Discipline: Increasing the disclosures that banks must provide to increase the transparency of banks.

**Credit risk**

According to the Bank for International Settlements (BIS), credit risk is defined as the potential that a bank borrower or counterparty will fail to meet its obligations in accordance with agreed terms. Credit risk is most likely caused by loans, acceptances, interbank transactions, trade financing, foreign exchange transactions, financial futures, swaps, bonds, equities, options, and in the extension of commitments and guarantees, and the settlement of transactions

**Market risk**

The risk of losses in the bank's trading book due to changes in equity prices, interest rates, credit spreads, foreign-exchange rates, commodity prices, and other indicators whose values are set in a public market. Bank for International Settlements (BIS) defines market risk as the risk of losses in on- or off-balance sheet positions that arise from movement in market prices.

**Operational risk**

As per (BIS), operational risk is defined as the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. This definition includes legal risk, but excludes strategic and reputation risk. Operational risk can widely occur in banks due

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

to human errors or mistakes. Examples of operational risk may be incorrect information filled in during clearing a check or confidential information leaked due to system failure.

13. Basel III capital regulations are based on 3 mutually reinforcing pillar. These pillars are:

- I. Minimum Capital Standards
- II. Supervisory Review of Capital Adequacy
- III. Risk Management & market discipline

- a) Only I & II
- b) Only I & III
- c) Only II & II
- d) II&III only
- e) **All are correct**

**Covered under mock tests, video lessons and live classes**

Ans: E

Pillars of the Basel III Norms for Banking

→ Pillar 1:

Minimum Regulatory Capital Requirements based on Risk Weighted Assets (RWAs): Maintaining capital calculated through credit, market and operational risk areas.

→ Pillar 2:

Supervisory Review Process: Regulating tools and frameworks for dealing with peripheral risks that banks face.

→ Pillar 3:

Market Discipline: Increasing the disclosures that banks must provide to increase the transparency of banks.

14. As per union budget 2018 It is now mandatory for large corporates to raise \_\_\_\_\_ capital through Bond market

- a) 20%
- b) 22%
- c) 51%
- d) **25%**

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

e) 10%

**Covered under mock tests, GK capsules, discussions in live classes**

Ans: D

The large companies will need to have 25 % of their fresh borrowing needs with a maturity of more than one year funded from the corporate bonds market on an annual basis.

15. What is the loan limit for education under Priority Sector Lending (PSL) for studying in India and abroad respectively

- a) Rs. 20 lakh, Rs. 10 Lakh
- b) Rs. 10 lakh, Rs. 20 Lakh**
- c) Rs. 25 lakh, Rs. 25 Lakh
- d) Rs. 20 lakh, Rs. 25 Lakh
- e) Rs. 10 lakh, Rs. 15 Lakh

**Covered under mock tests, GK capsules, discussions in live classes, videos**

Ans: B

Priority Sector includes the following categories:

- (i) Agriculture
- (ii) Micro, Small and Medium Enterprises
- (iii) Export Credit
- (iv) Education
- (v) Housing
- (vi) Social Infrastructure
- (vii) Renewable Energy
- (viii) Others

16. Recently under revised Priority Sector Lending guidelines for housing loans with the Affordable Housing Scheme consider the following statement

- a) housing loan limits for eligibility under priority sector lending for metropolitan centers is 35 lakh, for dwellings costing  $\leq$  Rs 45 lakh & Non Metropolitan centers is 25 lakh, Project cost  $\leq$  30 lakh.**
- b) housing loan limits for eligibility under priority sector lending for metropolitan centers is 45 lakh, for dwellings costing  $\leq$  Rs 50 lakh & Non Metropolitan centers is 25 lakh, Project cost  $\leq$  30 lakh

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

- c) housing loan limits for eligibility under priority sector lending for metropolitan centers is 35 lakh, for dwellings costing  $\leq$  Rs 45 lakh & Non Metropolitan centers is 15 lakh, Project cost  $\leq$  20 lakh
- d) housing loan limits for eligibility under priority sector lending for metropolitan centers is 35 lakh, for dwellings costing  $\leq$  Rs 55 lakh & Non Metropolitan centers is 25 lakh, Project cost  $\leq$  20 lakh
- e) housing loan limits for eligibility under priority sector lending for metropolitan centers is 25 lakh, for dwellings costing  $\leq$  Rs 55 lakh & Non Metropolitan centers is 15 lakh, Project cost  $\leq$  30 lakh

**Covered under mock tests, YouTube channel, live classes**

Ans: A

The Reserve Bank tweaked priority sector eligibility and classification norms for housing loans following an announcement in the second bi-monthly policy statement on June 6, 2018.

With a view to bring convergence of the Priority Sector Lending guidelines for housing loans with the Affordable Housing Scheme, and to give a fillip to low-cost housing for the Economically Weaker Sections and Low Income Groups, the housing loan limits for eligibility under priority sector lending were revised to Rs.35 lakh in metropolitan centers from Rs.28 lakh earlier (with population of ten lakh and above), and to Rs.25 lakh from Rs.20 lakh earlier in other centers, provided the overall cost of the dwelling unit in the metropolitan centre and at other centers does not exceed Rs.45 lakh and Rs.30 lakh, respectively.

17. As per RBI guidelines for priority sector lending \_\_\_\_ % of the total net bank credit should go to priority sector advances and \_\_\_\_% of Adjusted Net Bank credit should go to the Agriculture sector.

- a) 40%, 18%
- b) 35%, 20%
- c) 45%, 18%
- d) 20%, 10%
- e) 32%, 18%

**Covered under mock tests, discussions in live classes, videos**

Ans: A

**RBI guidelines for priority sector lending**

- 40% of the total net bank credit as on 31st March should go to priority sector advances



**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

- 10% of the priority sector advances or 10% of the total net bank credit, whichever is higher should go to weaker section.
- 18% of the total net bank credit should go to agricultural advances. Within the 18 percent target for agriculture, a target of 8 percent of Adjusted Net Bank Credit (ANBC) or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher is prescribed for Small and Marginal Farmers, to be achieved in a phased manner i.e., 7 per cent by March 2016 and 8 per cent by March 2017.
- 7.5 percent of ANBC or Credit Equivalent Amount of Off-Balance Sheet Exposure, whichever is higher should go to Micro enterprises. It is to be achieved in a phased manner i.e. 7 per cent by March 2016 and 7.5 per cent by March 2017.

18. The monetary policy committee is set up for maintaining price stability, while keeping in mind the objective of growth. What is the Inflation target range set by Monetary Policy Committee

- a) Target: 3%, Upper tolerance level: 5%, Lower tolerance level: 1%
- b) Target: 4%, Upper tolerance level: 6%, Lower tolerance level: 2%**
- c) Target: 6%, Upper tolerance level: 3%, Lower tolerance level: 9%
- d) Target: 4%, Upper tolerance level: 3%, Lower tolerance level: 5%
- e) Target: 2%, Upper tolerance level: 3%, Lower tolerance level: 5%

**Covered under GK capsules, live classes, youtube channel**

Ans: B

Inflation target by RBI until March 31, 2021, Target 4% with an upper tolerance level of 6% and lower limit of 2%

19. Consider the following statement wrt. RBI Monetary tool (decrease in Repo Rate & Increase in Reverse repo rate)

- a) Repo rate injects liquidity and Reverse Repo sucks liquidity from the market**
- b) Repo rate sucks liquidity and Reverse Repo injects liquidity from the market
- c) Either A & B
- d) Repo rate sucks liquidity and Reverse Repo sucks liquidity from the market
- e) Repo rate & Reverse Repo both injects liquidity in the market.

**Covered under videos and live classes**

Ans: A

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

**Repo rate** is one of the components of the monetary policy of the RBI which is used to regulate the money supply, level of inflation and liquidity in the country. Additionally, the levels of repo rate have a direct relationship with the cost of borrowing for banks. The higher the repo rate, higher is the cost of borrowing for banks and vice-versa.

During high levels of inflation, attempts are made to reduce the money supply in the economy. For this, RBI increases the repo rate, makes it costly for businesses and industry to borrow money. This, in turn, slows down investment and reduces the supply of money in the economy. As a result, the growth of the economy is negatively impacted. However, this also helps bring down inflation.

On the other hand, when the RBI needs to pump funds into the system, it lowers repo rate which makes it cheaper for the businesses and industry to borrow money for different investment purposes. It also increases the overall supply of money in the economy. This ultimately boosts the growth rate of the economy.

A **Reverse repo rate** is a rate which the RBI offers to banks when they deposit their surplus cash with the RBI for shorter periods. In other words, it is the rate at which the RBI borrows from the commercial banks. When banks have excess funds but don't have any other lending or investment options, they deposit/lend the surplus funds with the RBI and earn interest on the deposited funds.

The reverse repo rate has an inverse relationship with the money supply in the economy. During high levels of inflation in the economy, the RBI increases the reverse repo rate which encourages the banks to park more funds with the RBI to earn higher returns on idle cash. In this way, excess money is drained out of the banking system. Banks are left with lesser cash to extend loans which curbs the purchasing power of individuals.

20. Which entity finalizes the resolution plan under IBC, 2016?

- a) CCI
- b) DRT's
- c) **NCLT**
- d) High court
- e) Supreme court

**Covered under live classes, YouTube channel**

Ans: C

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

Section 31(2) of the IBC makes the resolution plan, once approved by the NCLT, binding on “the corporate debtor and its employees, members, creditors, guarantors and other stakeholders involved in the resolution plan”.

21. Return of investment is the ratio between the net profit and cost of investment. ROI provides a measure of

- a) **Profitability**
- b) Cash flow
- c) Production
- d) Time value
- e) Liquidity

**Covered under videos, mock tests, live classes**

Ans: A

Return on Investment (ROI): A profitability measure that evaluates the performance of a business by dividing net profit by capital employed.

A high ROI means the investment's gains favorably to its cost. As a performance measure, ROI is used to evaluate the efficiency of an investment or to compare the efficiencies of several different investments. In purely economic terms, it is one way of relating profits to capital invested. Return on investment is a performance measure used by businesses to identify the efficiency of an investment or number of different investments.

22. What is the most important factor driving price of stock in market?

- a) Net sales
- b) Operating cost
- c) P/E ratio
- d) **EPS**
- e) cashflow

**Covered under notes, mock tests, live classes**

Ans: D

EPS: Earnings per share is an important financial measure, which indicates the profitability of a company. It is calculated by dividing the company's net income with its total number of outstanding shares. It is a tool that market participants use frequently to gauge the profitability of a company before buying its shares.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

EPS is the portion of a company's profit that is allocated to every individual share of the stock. It is a term that is of much importance to investors and people who trade in the stock market. The higher the earnings per share of a company, the better are its profitability. While calculating the EPS, it is advisable to use the weighted ratio, as the number of shares outstanding can change over time.

Earnings per share can be calculated as  $\text{Net Income after Tax} / \text{Total Number of Outstanding Shares}$

23. A leadership theory which is based on two behavioral dimensions, the concern for people and the concern for production is known as

- a) Path-Goal Theory
- b) Contingency Theory
- c) Transformational Theory
- d) Behavioral Theory
- e) **Managerial Grid Model**

**Covered under notes, videos and mock tests**

Ans: E

**Blake and Mouton's Managerial Grid**

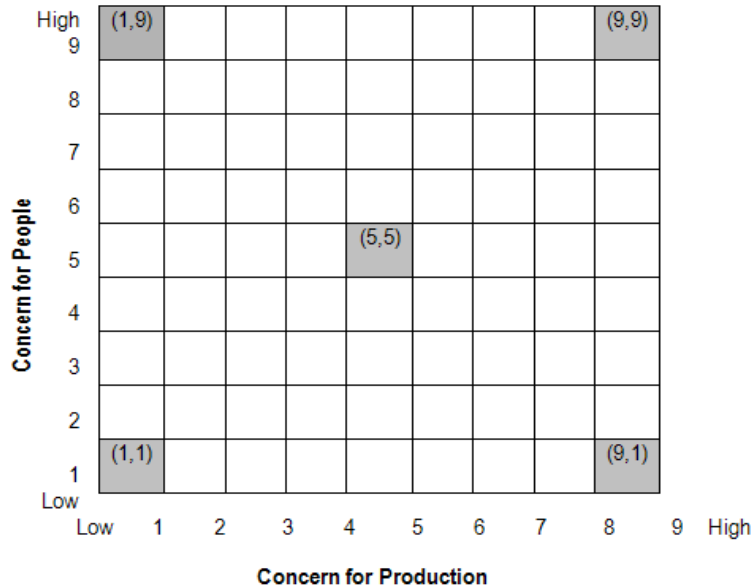
The treatment of task orientation and people orientation as two independent dimensions was a major step in leadership studies.

Robert Blake and Jane Mouton (1960s) proposed a graphic portrayal of leadership styles through a managerial grid (sometimes called leadership grid). The grid depicted two dimensions of leader behavior, **concern for people** (accommodating people's needs and giving them priority) on y-axis and **concern for production** (keeping tight schedules) on x-axis, with each dimension ranging from low (1) to high (9), thus creating 81 different positions in which the leader's style may fall. (See figure 1).

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

Figure 1: Managerial Grid



24. A leadership theory where leaders have complete trust in Subordinates and seeks frequent suggestions from them and use them constructively is known as

- a) Consultative leadership
- b) Participative leadership**
- c) Delegative leadership
- d) Transactional leadership
- e) Transformational leadership

**Covered in notes, videos, mock tests, live classes**

Ans: B

Participative or democratic leaders decentralize authority. It is characterized by consultation with the subordinates and their participation in the formulation of plans and policies. He encourages participation in decision-making.

He leads the subordinates mainly through persuasion and example rather than fear and force.

25. In which type of leadership power, a subordinate perceives that the supervisor has the power to punish or withhold key resources?

- a) Legitimate power
- b) Referent power
- c) Reward power
- d) Charismatic power

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

**e) Coercive Power**

**Covered under mock tests**

Ans: E

Coercive power is the ability of a manager to force an employee to follow an order by threatening the employee with punishment if the employee does not comply with the order.

The most important concept to understand about coercive power is that it uses the application of force. It seeks to force or compel behavior rather than to influence behavior through persuasion. Examples of coercive power include threats of write-ups, demotions, pay cuts, layoffs, and terminations if employees don't follow orders. In order to be effective, the manager must be able to follow through on the threat. If failure to comply doesn't result in punishment, threat of punishment becomes meaningless and even counterproductive because employees may cease to respect the legitimacy of the manager's authority.

26. When a manager gives specific advice, clarifies expectations, assign tasks and works with subordinates to identify behaviour to accomplish task, he is using which leadership style

- a) Transactional Theory
- b) Path-Goal Theory**
- c) Contingency Theory
- d) Transformational Theory
- e) Behavioral Theory

**Covered under notes, videos, mock tests**

Ans: B

The Path-Goal Theory of Leadership was developed to describe the way that leaders encourage and support their followers in achieving the goals they have been set by making the path that they should take clear and easy.

In particular, leaders:

- Clarify the path so subordinates know which way to go.
- Remove roadblocks that are stopping them going there.
- Increasing the rewards along the route.

Leaders can take a strong or limited approach in these. In clarifying the path, they may be directive or give vague hints. In removing roadblocks, they may scour the path or help the



**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

follower move the bigger blocks. In increasing rewards, they may give occasional encouragement or pave the way.

27. Decision metric under which the worst outcome is selected among many and the worst payoff related with the outcome is used in decision making :

- a) Max-Min
- b) Min-Min
- c) Max-Max
- d) ..
- e) ...

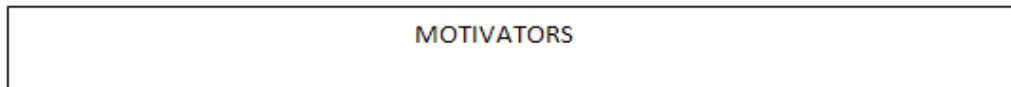
28. Which of the following is not motivation factor as per Herzberg's Two factor theory

- a) Recognition
- b) Sense of achievement
- c) Growth and promotional opportunities
- d) Interpersonal relations**
- e) Responsibility & Meaningfulness of the work

**Covered under notes, videos, mock tests**

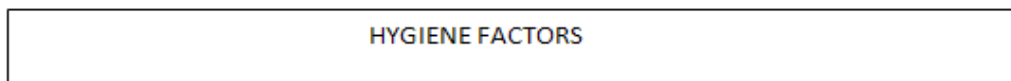
Ans: D

A two-factor theory or the motivator-hygiene theory. According to Herzberg, there are some job factors that result in satisfaction while there are other job factors that prevent dissatisfaction. According to Herzberg, the opposite of "Satisfaction" is "No satisfaction" and the opposite of "Dissatisfaction" is "No Dissatisfaction".



Satisfaction

No Satisfaction



No Dissatisfaction

Dissatisfaction

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

**Hygiene factors-** Hygiene factors are those job factors which are essential for existence of motivation at workplace. These do not lead to positive satisfaction for long-term. But if these factors are absent / if these factors are non-existent at workplace, then they lead to dissatisfaction. In other words, hygiene factors are those factors which when adequate/reasonable in a job, pacify the employees and do not make them dissatisfied. These factors are extrinsic to work. Hygiene factors are also called as dissatisfies or maintenance factors as they are required to avoid dissatisfaction. These factors describe the job environment/scenario. The hygiene factors symbolized the physiological needs which the individuals wanted and expected to be fulfilled. Hygiene factors include:

- Pay - The pay or salary structure should be appropriate and reasonable. It must be equal and competitive to those in the same industry in the same domain.
- Company Policies and administrative policies - The company policies should not be too rigid. They should be fair and clear. It should include flexible working hours, dress code, breaks, vacation, etc.
- Fringe benefits - The employees should be offered health care plans (mediclaime), benefits for the family members, employee help programmes, etc.
- Physical Working conditions - The working conditions should be safe, clean and hygienic. The work equipment should be updated and well-maintained.
- Status - The employees' status within the organization should be familiar and retained.
- Interpersonal relations - The relationship of the employees with his peers, superiors and subordinates should be appropriate and acceptable. There should be no conflict or humiliation element present.
- Job Security - The organization must provide job security to the employees.

**Motivational factors-** According to Herzberg, the hygiene factors cannot be regarded as motivators. The motivational factors yield positive satisfaction. These factors are inherent to work. These factors motivate the employees for a superior performance. These factors are called satisfiers. These are factors involved in performing the job. Employees find these factors intrinsically rewarding. The motivators symbolized the psychological needs that were perceived as an additional benefit. Motivational factors include:

- Recognition - The employees should be praised and recognized for their accomplishments by the managers.
- Sense of achievement - The employees must have a sense of achievement. This depends on the job. There must be a fruit of some sort in the job.
- Growth and promotional opportunities - There must be growth and advancement opportunities in an organization to motivate the employees to perform well.
- Responsibility - The employees must hold themselves responsible for the work. The managers should give them ownership of the work. They should minimize control but retain accountability.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

- Meaningfulness of the work - The work itself should be meaningful, interesting and challenging for the employee to perform and to get motivated.

29. Control system which automates the process of control

- a) Cybernetics control
- b) AI control
- c) ..
- d) ..
- e) ..

Artificial Intelligence and Cybernetics are widely misunderstood to be the same thing. However, they differ in many dimensions. For example, Artificial Intelligence (AI) grew from a desire to make computers smart, whether smart like humans or just smart in some other way. Cybernetics grew from a desire to understand and build systems that can achieve goals, whether complex human goals or just goals like maintaining the temperature of a room under changing conditions. But behind the differences between each domain ("smart" computers versus "goal-directed" systems) are even deeper underlying conceptual differences, some of which are captured in this diagram. For example, AI presumes that value lies in understanding "the world as it is" — which presumes that knowing the world is both possible and necessary. Cybernetics holds that it is only necessary and only possible to be coupled to the world sufficiently to achieve goals, that is, to gain feedback in order to correct actions to achieve a goal. Thus, while both fields must have clear and inter-consistent concepts such as representation, memory, reality, and epistemology, there are more differences than similarities.

30. In which theory of James MacGregor Burns Leader and Follower helps each other to move to higher level of motivation and morale?

- a) Trait Theories
- b) Contingency Theories
- c) Behavioral Theories
- d) Transformational theories**
- e) Participative Theories

**Covered under mock tests**

Ans: D

Burns Relationship theories, also known as transformational theories, focus upon the connections formed between leaders and followers. Transformational leaders motivate and inspire people by helping group members see the importance and higher good of the task.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

These leaders are focused on the performance of group members, but also want each person to fulfill his or her potential. Leaders with this style often have high ethical and moral standards.

Burns theorized that transforming and transactional leadership were mutually exclusive styles. Later, researcher Bernard M. Bass expanded upon Burns' original ideas to develop what is today referred to as **Bass' Transformational Leadership Theory**. Bass has identified **four components** to transformational leadership and has creatively figured out a way that all four can start with the letter "I" so that it might be called the **4I Model**.

- **Idealized Influence (II)** - the leader serves as an ideal role model for followers; the leader "walks the talk," and is admired for this.
- **Inspirational Motivation (IM)** - Transformational leaders have the ability to inspire and motivate followers. Combined, II and IM are what constitute the transformational leader's charisma.
- **Intellectual Stimulation (IS)** - the leader challenges followers to be innovative and creative. A common misunderstanding is that transformational leaders are "soft," but the truth is that they constantly challenge followers to higher levels of performance.
- **Individualized Consideration (IC)** - Transformational leaders demonstrate genuine concern for the needs and feelings of followers. This personal attention to each follower is a key element in bringing out their very best efforts.

Transformational leadership is said to have occurred when engagement in a group results in leaders and followers raising one another to increased levels of motivation and morality.

31. Which of the following are used as Liquidity Adjustment Facility by RBI?

- I. Repo rate
  - II. Reverse Repo Rate
  - III. Interest rate swaps
  - IV. CRR
- a) All except IV
  - b) All
  - c) All except II
  - d) **Only I&II**
  - e) All except III

**Covered under videos, mock test**

Ans: D

LAF: It is a monetary tool to control short-term money supply in economy. It helps banks to manage their daily liquidity by pledging government securities above the SLR requirement to RBI. It consists of Repo and Reverse Repo transactions.



**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

32. A type of organizational structure where a well-defined vertical and horizontal borders and hierarchy is not present is known as:

- a) Line organization
- b) Functional organization
- c) Matrix organization
- d) Boundary less organization**
- e) Divisional organization

**Covered under mock test**

Ans: D

A Boundaryless organization is a contemporary approach in organizational design. In a boundaryless organization, the boundaries that divide employees such as hierarchy, job function, and geography as well as those that distance companies from suppliers and customers are broken down. A boundaryless organization seeks to remove vertical, horizontal, and external barriers so that employees, managers, customers, and suppliers can work together, share ideas, and identify the best ideas for the organization. Some believe that the boundaryless organization is the perfect organizational structure for the 21st century.

In boundaryless organizations, employees are empowered to make decisions; therefore decisions are made by people closest to the root of the problem and who have to live with the consequences. Empowering and giving authority to employees allows having the shortest time between decision and implementation.

The goal in a boundaryless organization is to develop greater flexibility and responsiveness to change and to enable the free exchange of information and ideas. It is made up of self-managing and cross functional teams that are organized around core business processes. The teams include employees from different functional areas as well as customers and suppliers.

Boundaryless organizations are able to achieve greater integration and coordination. It shows in integration of resources and human capital. They are able to adapt to environmental and technological changes faster.

33. A type of organizational structure which use both Functional and Divisional structure is known as

- a) Line organization
- b) Functional-divisional organization
- c) Matrix organization**

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

- d) Boundaryless organization
- e) Flatarchy organization

**Covered under mock test**

Ans: C

Matrix

A hybrid organizational structure, the matrix structure is a blend of the functional organizational structure and the projectized organizational structure.

In the matrix structure, employees may report to two or more bosses depending on the situation or project. For example, under normal functional circumstances, an engineer at a large engineering firm could work for one boss, but a new project may arise where that engineer's expertise is needed. For the duration of that project, the employee would also report to that project's manager, as well as his or her boss for all other daily tasks.

The matrix structure is challenging because it can be tough reporting to multiple bosses and knowing what to communicate to them. That's why it's very important for the employees to know their roles, responsibilities and work priorities.

Advantages of this structure is that employees can share their knowledge across the different functional divisions, allowing for better communication and understanding of each function's role. And by working across functions, employees can broaden their skills and knowledge, leading to professional growth within the company.

On the other hand, reporting to multiple managers may add confusion and conflict between managers over what should be reported. And if priorities are not clearly defined, employees, too, may get confused about their roles.

34. In a strategic management control method which involves speculating deviations rather than comparing variations after completion of the activity is known as

- a) Feedback control
- b) Reactive control
- c) Concurrent control
- d) Close loop control
- e) **Feed forward control**

**Covered under mock tests**

Ans: E

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

Feed forward controls involve identifying and preventing problems in an organization before they occur. Feed forward controls are proactive and preventative. Feed forward controls are helpful to managers because they allow a manager to plan work effectively; they can regulate resources like employees, raw materials and capital ahead of time. This means that future problems can be avoided.

35. Introduction of Fiscal Responsibility and Budget Management (FRBM) Bill, 2000 has paved the way for removal of

- 
- a) Ad Hoc Bill
  - b) Ways and Means Advances
  - c) Short term advances
  - d) Long term advances**
  - e) None

Ans: D Long Term Advances

We can solve it by options elimination.

Ad-hoc treasury bills were discontinued from 1997 while the FRBM Act was proposed in 2000 and passed in 2003.

Ways and Means Advances are still in practice and replaced Adhoc Bills.

The objective of FRBM was to reduce the dependence of govt on borrowing from RBI. Therefore Long Term borrowing is to be removed. Short Term borrowing for emergency (natural disaster, national security etc.) situation may be required.

---



**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

**1 Marker Questions**

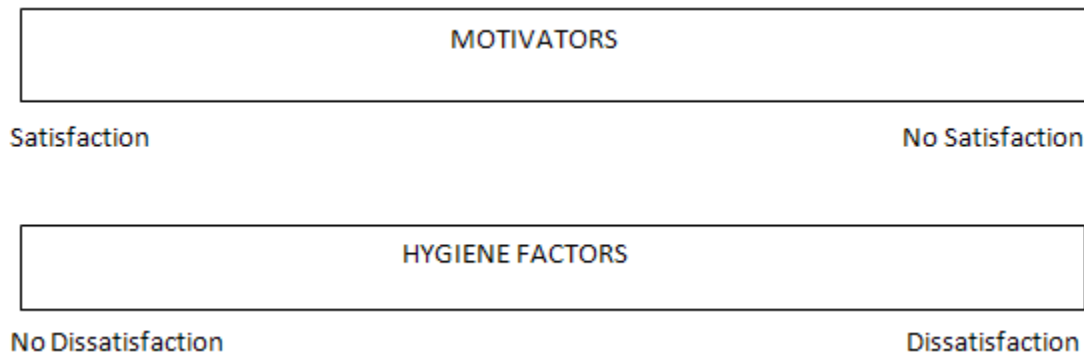
36. Which of the following is not a hygiene factor as per Herzberg's two factor theory

- a) Pay
- b) Fringe benefits
- c) Physical working conditions
- d) Recognition**
- e) Interpersonal Relations

**Covered under videos, study notes, mock tests**

Ans: D

As per two-factor theory/motivator-hygiene theory. According to Herzberg, there are some job factors that result in satisfaction while there are other job factors that prevent dissatisfaction. According to Herzberg, the opposite of "Satisfaction" is "No satisfaction" and the opposite of "Dissatisfaction" is "No Dissatisfaction".



**Hygiene factors-** Hygiene factors are those job factors which are essential for existence of motivation at workplace. These do not lead to positive satisfaction for long-term. But if these factors are absent / if these factors are non-existent at workplace, then they lead to dissatisfaction. In other words, hygiene factors are those factors which when adequate/reasonable in a job, pacify the employees and do not make them dissatisfied. These factors are extrinsic to work. Hygiene factors are also called as dissatisfies or maintenance factors as they are required to avoid dissatisfaction. These factors describe the job environment/scenario. The hygiene factors symbolized the physiological needs which the individuals wanted and expected to be fulfilled. Hygiene factors include:

- Pay - The pay or salary structure should be appropriate and reasonable. It must be

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

equal and competitive to those in the same industry in the same domain.

- Company Policies and administrative policies - The company policies should not be too rigid. They should be fair and clear. It should include flexible working hours, dress code, breaks, vacation, etc.
- Fringe benefits - The employees should be offered health care plans (medical claim), benefits for the family members, employee help programmes, etc.
- Physical Working conditions - The working conditions should be safe, clean and hygienic. The work equipment should be updated and well-maintained.
- Status - The employees' status within the organization should be familiar and retained.
- Interpersonal relations - The relationship of the employees with his peers, superiors and subordinates should be appropriate and acceptable. There should be no conflict or humiliation element present.
- Job Security - The organization must provide job security to the employees.

37. In a strategic management control method which attempt to identify what can possibly go wrong and try to minimize the occurrence before the activity is initiated is known as

- a) Feedback control
- b) Reactive control
- c) Concurrent control
- d) Close loop control
- e) **Feed Forward control**

**Covered under mock tests**

Ans: E

Feed forward control is a mechanism in a system for preventing problems before they occur by for monitoring performance inputs and reacting so as to maintain an identified level.

It is now increasingly recognized that control must be directed towards the future in order to be effective. Knowing about deviations long after they occur is useless.

Feed forward control focuses on the regulation of inputs (human, material, and financial resources that flow into the organization) to ensure that they meet the standards necessary for the transformation process.

Feed forward controls are desirable because they allow management to prevent problems rather than having to cure them later. Unfortunately, these controls require timely and accurate information that is often difficult to develop. Feed forward control also is sometimes called preliminary control, precontrol, preventive control, or steering control.



[www.ixambee.com](http://www.ixambee.com)

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

38. What is the full form of OCR in banking terminology

- a) Optical code Recognition
- b) Optical character Reader
- c) Optical character Recognition**
- d) Optical Code Reader
- e) Optical character Recorder

Ans: C

Optical character recognition or OCR is a program that converts scanned documents in a system, to machine understandable formatted files. One major drawback with the scanned documents is that they are not searchable. OCR software provides this ability and makes scanned files searchable. This technology has been widely implemented in different walks of business, the major area being OCR for banks. The use of OCR in banks has revolutionized the industry, making life easier for all.

39. A performance appraisal technique that makes use of feedback from supervisors, subordinates and co-workers, is known as

- a) Work-oriented appraisal
- b) 360-degree appraisal**
- c) Informal appraisal
- d) Graphic rating
- e) Behaviorally anchored rating

**Covered under videos, study notes, mock tests**

Ans: B

A 360-degree feedback (also known as multi-rater feedback, multi-source feedback, or multi source assessment) is a process through which feedback from an employee's subordinates, colleagues, and supervisor(s), as well as a self-evaluation by the employee themselves is gathered. Such feedback can also include, when relevant, feedback from external sources that interact with the employee, such as customers and suppliers or other interested stakeholders. 360-degree feedback is so named because it solicits feedback regarding an employee's behavior from a variety of points of view (subordinate, lateral, and supervisory). It therefore may be contrasted with "downward feedback" (traditional feedback on work behavior and performance delivered to subordinates by supervisory or management employees only; see

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

traditional performance appraisal), or "upward feedback" delivered to supervisory or management employees by subordinates only.

Organizations have most commonly utilized 360-degree feedback for developmental purposes, providing it to employees to assist them in developing work skills and behaviors. However, organizations are increasingly using 360-degree feedback in performance evaluations and employment decisions (e.g., pay; promotions). When 360-degree feedback is used for performance evaluation purposes, it is sometimes called a "360-degree review".

40. In which motivation theory while evaluating fairness a person compares inputs to output and also compares same with co-workers?
- a) Herzberg's Two-Factor Theory
  - b) Maslow's Hierarchy of Needs
  - c) Expectancy Theory
  - d) Equity Theory**
  - e) Three-Dimensional Theory of Attribution

**Covered under videos, study notes, mock tests**

Ans: D

Adam's Equity Theory, also known as the Equity Theory of Motivation.

The core of the equity theory is the principle of balance or equity. As per this motivation theory, an individual's motivation level is correlated to his perception of equity, fairness and justice practiced by the management. Higher is individual's perception of fairness, greater is the motivation level and vice versa. While evaluating fairness, employee compares the job input (in terms of contribution) to outcome (in terms of compensation) and also compares the same with that of another peer of equal cadre/category. D/I ratio (output-input ratio) is used to make such a comparison.

**EQUITY THEORY**

| Ratio<br>Comparison | Perception                      |
|---------------------|---------------------------------|
| $O/I A < O/I B$     | Under-rewarded (Equity Tension) |

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

|               |                           |         |
|---------------|---------------------------|---------|
| O/I A = O/I B | Equity                    |         |
| O/I A > O/I B | Over-rewarded<br>Tension) | (Equity |

41. The ability to influence people through granting key resources, promote or withholding benefits that are of interest to them is called

- a) **Reward Power**
- b) Coercive Power
- c) Export Power
- d) Reference Power
- e) Referent Power

**Covered under mock tests**

Ans: A

Reward power arises out of the authority that a person has to recognize and reward people. Ways to do this can be by salary hikes, bonuses, paid leave, and company sponsored vacation or even promotions. Employees who possess reward power can influence the performance of employees considerably.

If used, as a motivating factor, reward power can make employees work harder and smarter and contribute more effectively to the organization. But if this is used in an unfavorable manner and any kind of favoritism is displayed, then it can severely harm the morale of employees and reduce their productivity, leading to the wastage of company resources. Ex: Power that HR personnel have to decide CTC, bonus etc.

42. The Managerial Grid theory that helps Managers to analyze their own leadership styles through a technique known as grid training was given by

- a) Thomas Carlyle
- b) McCall and Lombardo
- c) **Blake and Mouton**
- d) Coch, L. and French, J.R.P.
- e) Fiedler, F.E. (1967)

**Covered under videos, study notes, mock tests**

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

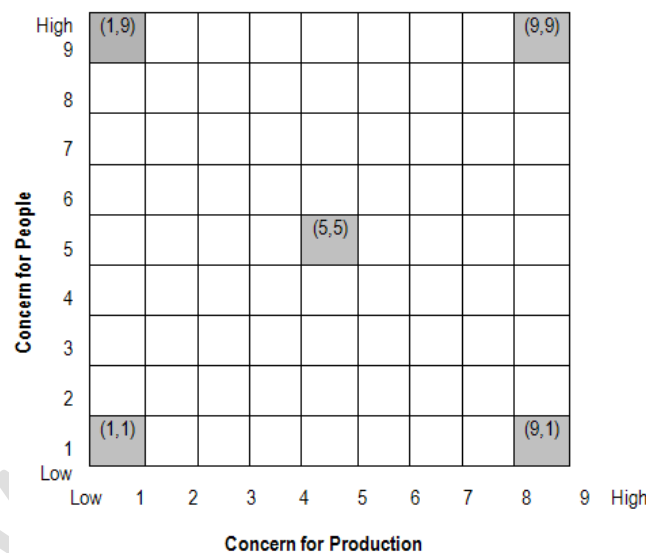
Ans: C

**Blake and Mouton's Managerial Grid**

The treatment of task orientation and people orientation as two independent dimensions was a major step in leadership studies.

Robert Blake and Jane Mouton (1960s) proposed a graphic portrayal of leadership styles through a managerial grid (sometimes called leadership grid). The grid depicted two dimensions of leader behavior, concern for people (accommodating people's needs and giving them priority) on y-axis and concern for production (keeping tight schedules) on x-axis, with each dimension ranging from low (1) to high (9), thus creating 81 different positions in which the leader's style may fall. (See figure 1).

Figure 1: Managerial Grid



**The five resulting leadership styles are as follows:**

- **Impoverished Management (1, 1):** Managers with this approach are low on both the dimensions and exercise minimum effort to get the work done from subordinates. The leader has low concern for employee satisfaction and work deadlines and as a result disharmony and disorganization prevail within the organization. The leaders are termed ineffective wherein their action is merely aimed at preserving job and seniority.
- **Task management (9, 1):** Also called dictatorial or perish style. Here leaders are more concerned about production and have less concern for people. The style is based on theory X of McGregor. The employees' needs are not taken care of and they are simply

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

a means to an end. The leader believes that efficiency can result only through proper organization of work systems and through elimination of people wherever possible. Such a style can definitely increase the output of organization in short run but due to the strict policies and procedures, high labour turnover is inevitable.

- Middle-of-the-Road (5, 5): This is basically a compromising style wherein the leader tries to maintain a balance between goals of company and the needs of people. The leader does not push the boundaries of achievement resulting in average performance for organization. Here neither employee nor production needs are fully met.
- Country Club (1, 9): This is a collegial style characterized by low task and high people orientation where the leader gives thoughtful attention to the needs of people thus providing them with a friendly and comfortable environment. The leader feels that such a treatment with employees will lead to self-motivation and will find people working hard on their own. However, a low focus on tasks can hamper production and lead to questionable results.
- Team Management (9, 9): Characterized by high people and task focus, the style is based on the theory Y of McGregor and has been termed as most effective style according to Blake and Mouton. The leader feels that empowerment, commitment, trust, and respect are the key elements in creating a team atmosphere which will automatically result in high employee satisfaction and production.

**Advantages of Blake and Mouton's Managerial Grid**

The Managerial or Leadership Grid is used to help managers analyze their own leadership styles through a technique known as grid training. This is done by administering a questionnaire that helps managers identify how they stand with respect to their concern for production and people. The training is aimed at basically helping leaders reach to the ideal state of 9, 9.

**Limitations of Blake and Mouton's Managerial Grid**

The model ignores the importance of internal and external limits, matter and scenario. Also, there are some more aspects of leadership that can be covered but are not.

43. Recently "Udyami Mitra" scheme "Udyami Mitra Portal" has been launched by SIDBI
- To improve accessibility of credit & handholding services to the MSMEs**
  - To provide digital literacy to MSME
  - To Build awareness about intellectual property
  - To promote Innovation, Rural industry& Entrepreneurship
  - To enable establishment of strong manufacturing base of MSME sector





[www.ixambee.com](http://www.ixambee.com)

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

Ans: A

Small Industries Development Bank of India (SIDBI) has launched the 'Udyami Mitra' Portal ([www.udyamimitra.in](http://www.udyamimitra.in)) to improve the accessibility of credit and handholding services to Micro, Small and Medium Enterprises (MSMEs)

Scheduled Commercial Banks (SCBs) have been advised to ensure a target of 7.5% of Adjusted Net Bank Credit (ANBC) for Micro Enterprises

Collateral security is not required for loans up to Rs. 10 lakh to MSE sector, which has simplified working capital requirement for MSEs

44. PPP is a special kind of contract involving two or more public and private sector for long term. PPP is mostly used to fund

- a) Small business firms
- b) Large corporates
- c) Small Corporates
- d) Start-Ups
- e) **Large Infrastructure funds**

**Covered under mock tests**

Ans: E

Public Private Partnership (PPP) means an arrangement between a Government / statutory entity / Government owned entity on one side and a private sector entity on the other, for the provision of public assets and/or public services, through investments being made and/or management being undertaken by the private sector entity, for a specified period of time, where there is well defined allocation of risk between the private sector and the public entity and the private entity who is chosen on the basis of open competitive bidding, receives performance linked payments that conform (or are benchmarked) to specified and pre-determined performance standards, measurable by the public entity or its representative.

PPPs are best seen as a special kind of contract involved in infrastructure provision, such as the building and equipping of schools, hospitals, transport systems, water and sewerage systems.

45. Ratio of Output Input within Time with due consideration for quality is known as

- a) Productivity
- b) **Efficiency**
- c) Effectiveness
- d) Either A&B

## **RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

### **(Memory based paper with detailed solutions)**

e) Either B&C

#### **Covered under mock tests**

Ans: B

Productivity = Output / Input

Efficiency = Doing things right

Effectiveness = Doing the right things

Productivity refers to the conversion level of inputs into outputs. A process that can produce more output using fewer inputs is more proactive.

Efficiency in the economic sense means that things should be done in an economic way considering that resources are scarce. Efficiency therefore implies doing the right things in a rightful manner.

| BASIS FOR COMPARISON | PRODUCTIVITY                                                                           | EFFICIENCY                                                                                           |
|----------------------|----------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| Meaning              | Productivity alludes to the rate at which products are produced, or task is performed. | Efficiency implies the state of producing maximum output with limited resources and minimum wastage. |
| Describes            | How many output produced by one unit of input.                                         | How well the resources are utilized.                                                                 |
| Focuses on           | Quantity                                                                               | Quality                                                                                              |
| Ratio of             | Output to Input                                                                        | Actual Output to Standard Output                                                                     |

46. To promote digital transactions, an upgraded UPI 2.0 is launched recently. UPI is monitored by

- a) RBI
- b) NPCI**
- c) IBA

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

- d) I-CERT
- e) IDBRT (Institute for Development and Research in Banking)

**Covered under mock tests, live classes**

Ans: B

Unified Payments Interface (UPI) is a system that powers multiple bank accounts into a single mobile application (of any participating bank), merging several banking features, seamless fund routing & merchant payments into one hood. It also caters to the “Peer to Peer” collect request which can be scheduled and paid as per requirement and convenience. Each Bank provides its own UPI App for Android, Windows and iOS mobile platform(s).

NPCI is the settlement agency which powers the UPI network riding on top of its own existing instant mobile payment product, IMPS. NPCI provides an SDK to all PSPs (Payment Service Provider) on UPI network to enable them to provide a consumer facing application which can be built using the SDK. Aside from running the network, NPCI also runs its own PSP backend, customer facing app.

47. The ERG theory of motivation, seeks to rank human needs in a hierarchy. ERG stands for three need levels. Where R stands for

- a) Response
- b) Relatedness**
- c) Resource
- d) Regulations
- e) Reference

**Covered under videos, study notes, mock tests**

Ans: B

ERG theory condenses Maslow's five human needs into three categories: Existence, Relatedness and Growth.

- **Existence** **Needs**  
include all material and physiological desires (e.g., food, water, air, clothing, safety, physical love and affection). Maslow's first two levels.
- **Relatedness** **Needs**  
Encompass social and external esteem; relationships with significant others like family,

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

friends, co-workers and employers. This also means to be recognized and feel secure as part of a group or family. Maslow's third and fourth levels.

- **Growth**

**Needs**

Internal esteem and self-actualization; these impel a person to make creative or productive effects on himself and the environment (e.g., to progress toward one's ideal self). Maslow's fourth and fifth levels. This includes desires to be creative and productive, and to complete meaningful tasks.

Even though the priority of these needs differ from person to person, Alberger's ERG theory prioritizes in terms of the categories' concreteness. Existence needs are the most concrete, and easiest to verify. Relatedness needs are less concrete than existence needs, which depend on a relationship between two or more people. Finally, growth needs are the least concrete in that their specific objectives depend on the uniqueness of each person.

48. As per the Budget 2018, what is the revised fiscal deficit target for 2018-19

- a) 3.1% of GDP
- b) 3.2% of GDP
- c) 3.3% of GDP**
- d) 2.1% of GDP
- e) 3.5% of GDP

**Covered under study notes on Budget, mock tests, live classes, GK updates**

Ans: C

In the union budget 2018 Finance minister has set the fiscal deficit target for 2018-19 at 3.3% of the gross domestic product (GDP) to accommodate higher demand for expenditure against the earlier target of 3%.

In the speech by FM government accepted key recommendations of the N.K. Singh Committee on fiscal discipline to reduce debt-to-GDP ratio to 40% by 2024-25 from 50.1% in 2017-18 and has introduced amendments to the present Fiscal Responsibility and Budget Management Act.

49. The maximum GST rate introduced by GoI is

- a) 18%
- b) 24%
- c) 28%**
- d) 19%

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

e) 25%

**Covered under mock tests, GK updates, Notes, live classes**

Ans: C

GST stands for Goods and Services Tax. It is classified into three types:

CGST –Central GST

SGST –State GST

IGST –Integrated GST

At present there are 4 tax slabs under GST 5%, 12%, 18%, 28%.

50. A written Statement containing the why and how a particular job is done, job activities and employee roles & responsibilities within the organization is known as

- a) Job design
- b) Job Specification
- c) Job analysis
- d) Job description**
- e) Job statement

**Covered under videos, study notes, mock tests, live classes**

Ans: D

**Job Description**

Job description includes basic job-related data that is useful to advertise a specific job and attract a pool of talent. It includes information such as job title, job location, reporting to and of employees, job summary, nature and objectives of a job, tasks and duties to be performed, working conditions, machines, tools and equipment to be used by a prospective worker and hazards involved in it.

**Purpose of Job Description**

The main purpose of job description is to collect job-related data in order to advertise for a particular job. It helps in attracting, targeting, recruiting and selecting the right candidate for the right job.

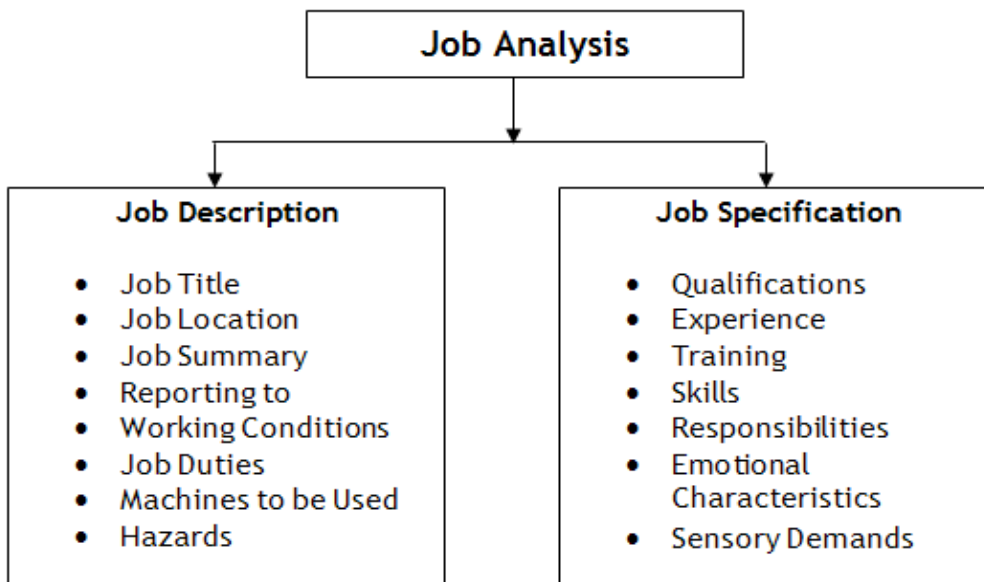
**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

It is done to determine what needs to be delivered in a particular job. It clarifies what employees are supposed to do if selected for that particular job opening.

It gives recruiting staff a clear view what kind of candidate is required by a particular department or division to perform a specific task or job.

It also clarifies who will report to whom.



Both job analysis and Job Design is a process.

Job Analysis is a primary tool to collect job-related data. The process results in collecting and recording two data sets including job description and job specification.

Job design follows job analysis i.e. it is the next step after job analysis. It aims at outlining and organizing tasks, duties and responsibilities into a single unit of work for the achievement of certain objectives. It also outlines the methods and relationships that are essential for the success of a certain job. In simpler terms it refers to the what, how much, how many and the order of the tasks for a job/s.

51. To capture structural changes in the Indian economy and improve the quality, coverage and representativeness of the indices the base year for calculation of WPI is revised to

- a) 2010-11
- b) 2009-10

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

- c) **2011-12**
- d) 2017-18
- e) 2018-19

**Covered under live classes, GK Updates, mock tests**

Ans: C

Wholesale Price Index (WPI) measures the average change in the prices of commodities for bulk sale at the level of early stage of transactions. The index basket of the WPI covers commodities falling under the three major groups namely Primary Articles, Fuel and Power and Manufactured products. (The index basket of the present 2011-12 series has a total of 697 items including 117 items for Primary Articles, 16 items for Fuel & Power and 564 items for Manufactured Products.) The prices tracked are ex- factory price for manufactured products, mandis price for agricultural commodities and ex-mines prices for minerals. Weights given to each commodity covered in the WPI basket is based on the value of production adjusted for net imports. WPI basket does not cover services.

In India WPI is also known as the headline inflation rate.

52. Under IBC, 2016 what is the maximum time limit given for the final resolution process of an Entity

- a) 180 days
- b) 90 days
- c) 30 days
- d) 120 days
- e) **270 days**

Ans: E

The current IBC law allows a maximum 270 days for resolution — an initial 180 days and 90 days of extra time on top of that for finalizing a resolution process.

53. As per Kurt Levine's organizational change Management Model involves 3 steps/stages. The first stage includes

- a) **Unfreezing**
- b) Refreezing
- c) Changing
- d) Feedback



**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

e) Modifying

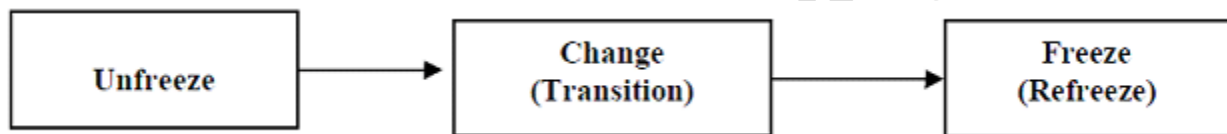
**Covered under mock tests**

Ans: A

Kurt Lewin's Three Stages model or the Planned Approach to Organizational which he referred as **Unfreeze, Change (Transition) and Freeze (Refreeze)**.

According to Lewin, Change for any individual or an organization is a complicated journey which may not be very simple and mostly involves several stages of transitions or misunderstandings before attaining the stage of equilibrium or stability.

For explaining the process of organizational change, he used the analogy of how an ice block changes its shape to transform into a cone of ice through the process of unfreezing.



Source: [www.strategies-for-managing-change.com](http://www.strategies-for-managing-change.com)

**Stage 1 - Unfreezing:** This is the first stage of transition and one of the most critical stages in the entire process of change management. It involves improving the readiness as well as the willingness of people to change by fostering a realization for moving from the existing comfort zone to a transformed situation. It involves making people aware of the need for change and improving their motivation for accepting the new ways of working for better results. During this stage, effective communication plays a vital role in getting the desired support and involvement of the people in the change process.

**Stage 2 - Change:** This stage can also be regarded as the stage of Transition or the stage of actual implementation of change. It involves the acceptance of the new ways of doing things. This is the stage in which the people are unfrozen, and the actual change is implemented. During this stage, careful planning, effective communication and encouraging the involvement of individuals for endorsing the change is necessary. It is believed that this stage of transition is not that easy due to the uncertainties or people are fearful of the consequences of adopting a change process.

**Stage 3 - Freeze (Refreezing):** During this stage, the people move from the stage of transition (change) to a much more stable state which we can regard as the state of equilibrium. The stage of Refreezing is the ultimate stage in which people accept or internalize the new ways of working or change, accept it as a part of their life and establish new relationships. For

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

strengthening and reinforcing the new behavior or changes in the way of working, the employees should be rewarded, recognized and provided positive reinforcements, supporting policies or structures can help in reinforcing the transformed ways of working.

**Understanding Lewin's Change Management Model**

If you have a large cube of ice but realize that what you want is a cone of ice, what do you do? First you must melt the ice to make it amenable to change (unfreeze). Then you must mold the iced water into the shape you want (change). Finally, you must solidify the new shape (refreeze).



54. A type of communication which does not have definite pattern or direction and flows at every level without anyone controlling it is known as
- Formal communication
  - Verbal communication
  - Oral communication
  - Grapevine communication**
  - Visual communication

**Covered under videos, study notes, mock tests**

Ans: D

Grapevine is an informal channel of business communication. It is called so because it stretches throughout the organization in all directions irrespective of the authority levels. Man as we know is a social animal. Despite existence of formal channels in an organization, the informal channels tend to develop when he interacts with other people in organization. It exists more at lower levels of organization.

Grapevine generally develops due to various reasons. One of them is that when an organization is facing recession, the employees sense uncertainty. Also, at times employees do not have self-confidence due to which they form unions. Sometimes the managers show preferential

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

treatment and favour some employees giving a segregated feeling to other employees. Thus, when employees sense a need to exchange their views, they go for grapevine network as they cannot use the formal channel of communication in that case. Generally during breaks in cafeteria, the subordinates talk about their superior's attitude and behaviour and exchange views with their peers. They discuss rumors about promotion and transfer of other employees. Thus, grapevine spreads like fire and it is not easy to trace the cause of such communication at times.

55. A type of online fund/capital raising technique from large number of investors for a new business venture is known as

- a) Hedge Funding
- b) Sponsorship
- c) crowd funding**
- d) Auctioning
- e) Exhibition

**Covered under videos, mock tests, live classes**

Ans: C

Crowdfunding is the use of small amounts of capital from a large number of individuals to finance a new business venture. Crowdfunding makes use of the easy accessibility of vast networks of people through social media and crowdfunding websites to bring investors and entrepreneurs together, and has the potential to increase entrepreneurship by expanding the pool of investors from whom funds can be raised beyond the traditional circle of owners, relatives and venture capitalists.

56. In the capital market the trade of stocks and bonds & there safekeeping in dematerialized form is facilitated by

- a) SEBI
- b) RBI
- c) Depositories**
- d) Depository participants
- e) Stock exchanges

**Covered under mock tests**

Ans: C

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

Both NSDL and CDSL, facilitate dematerialization of shares i.e. held the shares in electronic form. So, depository is held accountable for safe-keeping of your portfolio of securities.

On instruction of the account holder, depositories also facilitate transfer of securities from one account to the other. So, transfer of ownership of securities is facilitated by depositories.

57. A \_\_\_\_\_ is a term used when a person who exposes misconduct, alleged dishonest or illegal & unethical activity occurring in an organization.

- a) Insider trading
- b) Selling
- c) Whistleblowing**
- d) Trading
- e) Vigilante

**Covered under mock tests**

Ans: C

Whistleblowing is the term used when a worker passes on information concerning wrongdoing. In this guidance, we call that “making a disclosure” or “blowing the whistle”. The wrongdoing will typically (although not necessarily) be something they have witnessed at work.

58. A leadership theory which asserts that an individual is composed of a set of definite predisposition attributes & believes that the leaders are born and not made

- a) Trait Theory**
- b) Behavioral Theory
- c) Contingency Theory
- d) Transactional theory
- e) Great Man theory

**Covered under videos, study notes, mock tests**

Ans: A

The trait leadership theory believes that people are either born or are made with certain qualities that will make them excel in leadership roles. That is, certain qualities such as intelligence, sense of responsibility, creativity and other values puts anyone in the shoes of a good leader.

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

The trait theory of leadership focused on analyzing mental, physical and social characteristic in order to gain more understanding of what is the characteristic or the combination of characteristics that are common among leaders.

59. Contingency theories of leadership are based on the belief that

- a) There is a single style of leadership appropriate to all managers.
- b) There is no single style of leadership appropriate to all situations**
- c) There is a single style of leadership appropriate to all situations.
- d) None of the above.
- e) All

**Covered under notes, mock tests**

Ans: B

The Contingency Theory of Leadership states that a leader's effectiveness is contingent upon with how his or her leadership style matches to the situation. That is, the leader must find out what kind of leadership style and situation he or she thrives in. The Contingency Theory is concerned with the following:

- I. "There is no one best style of leadership"
- II. A leader is effective when his or her style of leadership fits with the situation

60. In an organization a type of authority which is/are responsible for achieving key organizational goals is known as

- a) Staff authority
- b) Line authority**
- c) Functional authority
- d) Project authority
- e) Process authority

Ans: B

**TYPES OF AUTHORITY:**

3 main types of authority can exist within an organization:

- I. Line Authority
- II. Staff Authority
- III. Functional Authority



[www.ixambee.com](http://www.ixambee.com)

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

Each type exists only to enable individuals to carry out the different types of responsibilities with which they have been charged.

**LINE AUTHORITY:**

The most fundamental authority within an organization reflects existing superior-subordinate relationships. It consists of the right to make decisions and to give order concerning the production, sales or finance related behaviour of subordinates.

In general, line authority pertains to matters directly involving management system production, sales, finance etc., and as a result with the attainment of objectives.

People directly responsible for these areas within the organization are delegated line authority to assist them in performing their obligatory activities.

61. A managerial approach that entails a dominant authoritative personality and at the same time leader is sensitive about followers feeling.

- a) Democratic leadership style
- b) Paternalistic Leadership Style**
- c) Charismatic Leadership
- d) Servant Leadership
- e) Transactional Leadership

Ans: B

Paternalistic leadership is a managerial approach that entails a dominant authoritative personality who acts as a matriarch or patriarch and treats partners and employees just like they are members of large extended families. In turn, the leaders expect trust, obedience and loyalty from the employees.

A Paternalistic Leader creates such an amicable ambience at the workplace that employees consider their team as a family. Yearning to belong to a group is a natural human tendency. Just like families have a head; organizations have leaders, who occupy an authoritative position to determine what's best for the team. Paternalistic leadership is an approach, where a leader is equipped to adhere to the interests of the employees and the organization.

62. The structure of an organization which is characterized by informality, Associated with decentralized decision-making & employee empowerment & Flexibility.

- a) Mechanistic Structure

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

- b) Organic structure**
- c) Coercive structure
- d) Vertical structure
- e) Diagonal structure

Ans: B

An organic organizational structure is characterized by an extremely flat reporting structure within an organization. In this organization, the span of control of the typical manager encompasses a large number of employees. Interactions among employees tend to be horizontally across the organization, rather than vertically between layers of managers and their direct reports.

Because interactions are mostly amongst employees within a flat reporting structure, decisions are more likely to be made by consensus among groups of employees, rather than by individual managers. There also tends to be a larger amount of information sharing among employees, rather than the concentration of information at the upper levels of an organization that is more commonly seen in traditional top-down reporting organizations. There may be a large amount of cooperation between departments, rather than the silo effect that occurs in more hierarchically-organized businesses.

**Organic Structures is Characterized by:**

- Informality
- Flexible and fluid (easy to change)
- Favours informal (e.g.) verbal communication
- Associated with decentralized decision-making & employee empowerment
- Find change easier to handle

63. In which of the following organization structure, each specialist is supposed to give his functional advice to all other foremen and workers

- a) Line organization
- b) Functional organization**
- c) Line and staff organization
- d) Either A&C
- e) All of the above

Exact question was on Functional departmentalization, which we cannot recall

Ans: B





[www.ixambee.com](http://www.ixambee.com)

**RBI Grade B – 2018 (Sep 2018) – Finance & Management Paper**

**(Memory based paper with detailed solutions)**

64. An Inventory Control System in Materials Management which Focuses on increasing productivity is known as
- a) Inventory control
  - b) Quality control
  - c) ..
  - d) ..
  - e) ..
65. Some question on Standard deduction 40K

Published by [www.ixamBee.com](http://www.ixamBee.com)

**RBI**

---

# RBI Grade B

## F & M -Previous Year Paper

---

